The attacks on remaining Egyptian troops in Palestine meanwhile continued, with several assaults on Egyptian positions around the city of Gaza. These forces were surrounded and cut off. Finally, on January 7, Egypt approached Israel asking for armistice talks. This was a stunning setback for the Arab cause. The Egyptian Army was one of the most powerful in the region, and its defeat by the IDF was totally unexpected. Formal talks began on January 12 on the Island of Rhodes, and soon after, Israel agreed that the beleaguered Egyptian force in Faluja would finally be allowed to withdraw.

The talks foundered later in January when Egypt maintained that it would only withdraw its forces to the positions they had occupied in October, while Israel demanded the withdrawal of Egyptian forces from all of Palestine. As a result, Israel threatened to resume the war, and it took intervention by the United States before a final armistice agreement was signed between Israel and Egypt on February 24, 1949.

With the armed forces of Egypt no longer a factor, it was obvious that the remaining members of the Arab League lacked the ability to bring the war to a successful conclusion. In the coming months, most of the other members of the Arab alliance also signed separate armistice agreements. These included Lebanon (on March 23), Jordan (on April 3), and Syria (on July 20). Only Iraq refused to conclude a peace deal with Israel, though it did withdraw its forces from the territory they had occupied, passing control of these areas over to Jordan.

These agreements saw Israel in control of almost 80% of what had formally been British-controlled Mandatory Palestine. It represented far more territory than the UN proposal for a partition of Palestine had allocated to the new Jewish state. In that sense, the agreements that concluded the war represented a major victory for Israel. Not only had it withstood a combined assault by its Arab neighbors, but it had actually increased the amount of territory under its control. The additional territory acquired by Israel included the Negev desert in the south, the Jezreel Valley in the north, most of Galilee, and West Jerusalem. The same agreements gave control of the Gaza Strip to Egypt and the West Bank (including East Jerusalem) to Jordan.

The new territorial lines created by the armistice agreements became known as the “Green Line,” and the United Nations Truce